

Year 3: groups and more standards

Leases, consolidation, and the standards on policies, events, grants, borrowing, EPS, property, currency and fair value.

**Goldman
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Summary sheet

IFRS 16: Lease calculations

- Lease liability = PV of payments; right-of-use asset = liability + direct costs + payments in advance.
- Interest at the implicit rate; depreciate over the shorter of the term and the useful life.
- Exemptions: short-term (12 months or less) and low-value leases.

Consolidated statement of profit or loss

- Add 100% of the subsidiary, time-apportioned from acquisition.
- Remove intra-group sales from revenue and cost of sales; add URP to cost of sales.
- NCI share = NCI % × subsidiary's post-acquisition profit (less URP if it was the seller).

IAS 8: Policies, estimates and errors

- Policy change and prior period error: retrospective, restate comparatives.
- Change in estimate: prospective, this year and later.
- If unsure, treat it as a change in estimate.

IAS 10: Events after the reporting period

- Adjusting: evidence of conditions at the year end (e.g. customer insolvency). Change the figures.
- Non-adjusting: new conditions (e.g. a fire). Disclose if material.
- Dividends declared after the year end are not a liability; going concern is the exception.

IAS 20: Government grants

- Recognise when reasonably sure of meeting the conditions and receiving the grant.
- Capital grants: deferred income released over the asset's life, or deduct from cost.
- Repayment: set against deferred income first, then expense.

IAS 23: Borrowing costs

- Capitalise interest on a qualifying asset while it's being built.
- Specific loan: interest less investment income. General: weighted average rate.
- Suspend during long pauses; stop when substantially complete.

IAS 33: Earnings per share

- $EPS = (\text{profit after tax} - \text{preference dividends}) \div \text{weighted average shares}$.
- Full-price issue: weight by time. Bonus issue: from the start of the year, restate the comparative.
- Diluted EPS adds potential shares; it's never higher than basic.

IAS 40: Investment property

- Held for rent or capital growth; owner-occupied is IAS 16.
- Fair value model: gains and losses to profit or loss, no depreciation.
- Cost model: depreciate and disclose fair value.

IAS 21: Foreign currency transactions

- Record at the spot rate on the transaction date.
- Year end: retranslate monetary items at the closing rate; non-monetary stay at the historical rate.
- Exchange differences go to profit or loss.

IFRS 13: Fair value measurement

- Fair value is an exit price between market participants.
- Principal market first; otherwise the most advantageous (net of transaction and transport costs).
- Deduct transport costs, not transaction costs. Hierarchy: Level 1, 2, 3.